

ADVANTAGE Daily Drilling Fluids Report - 16



INTEQ

Rpt Date 16/Oct/2006		Well Name/No Bilabri D3		Section Name/No 12 1/4" hole #3		Mud System SYN-TEQ (PARA)	
Job# 1		Spud Date 04/Oct/2006		MD 840.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon / Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
0				19 1/2	166.20	Total Hole	Continental Ensco FA-1600		12.00	97.0		0	
Drill Collars			Drill Pipe			0	Continental Ensco FA-1600		12.00	97.0		0	
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600		12.00	97.0		0	
						0							
						Tot Active							
						0							
						In Storage	Circulation Times						
						1168	Surface to Bit	min/stks			Total System	min/stks	
							Bottoms Up	min/stks					

Mud Properties				Max Ann Velocity		Hole Information			
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	psi	Water Depth
Sample From		Reserve	Reserve		AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate
Check Time		16:00	21:00		AV Open Hole	ft/min	Solids Analysis		
MD m		840.00	840.00		Vc Open Hole	ft/min	Property	1	2
TVD m		840.00	840.00		Vc Drill Pipe	ft/min	LGS %	2.65	1.29
Bit Depth m		0.00	0.00		Min Ann Velocity		LGS lb/bbl	24.14	11.74
Density ppg	10.00-10.50	10.80	10.10		AV Riser	ft/min	HGS %	10.97	9.28
Funnel Visc. sec/quart		80.0	68.0		AV Casing	ft/min	HGS lb/bbl	161.51	136.66
Test Temp degF		86.0	86.0		AV Open Hole	ft/min	Bentonite %	0.00	
Rheol Temp degF		120.0	120.0		Bit Information		Bentonite lb/bbl	0.00	
PV cP		38	30		Size		Drill Sol %	0.00	
YP lbf/100ft^2		28	20		Hours On Bit		Drill Sol lb/bbl	0.00	
10sec Gel lbf/100ft^2		12	10		Bit Number		Avg Dens Sol sg	3.8888	4.0050
10min Gel lbf/100ft^2		20	17		BHA Number		Rheology		
HTHP Filtrate cc		3.8	3.8		Depth In		600 RPM	104	80
HTHP Cake in/32		2.0	2.0		Bit RPM		300 RPM	66	50
HTHP Temp degF		250.0	250.0		WOB		200 RPM	50	42
HTHP Pressure psi		500	500		Nozzles		100 RPM	33	28
Retort Water %		24.0	23.0		Bit Hydraulics		6 RPM	13	11
Retort Base Fluid %		61.0	65.0		TFA		3 RPM	11	10
Retort Solids %		15.0	12.0		Nozzle Vel	ft/sec			
Corrected Solids %		13.6	10.6		Bit Press Loss	psi			
Oil:Water Ratio		72:28	74:26		HHP / Area	HP/in^2	Hydraulic Analysis		
Alk (Whole Mud-POM) cc/cc		0.70	0.70		HHP	%	Behavior Index (n)		
Cl (Whole Mud-Clom) cc/cc		35000	36000				Consistency Index (k)		
Ca (Whole Mud-Caom) cc/cc		0	0				#sec^n/100ft^2		
Excess Lime lb/bbl		0.9	0.9				ECD @ Bit Depth		
Brine Density sg		1.16	1.17				ECD @ Casing Shoe		
NaCl % wt		0	0		Fluid Comments/ Recommendations				
CaCl2 % wt		19	20		Received 961 bbls of 10.8 ppg SOBM from the 'Comrade', and conditioned with base oil and Carbogel to reduce weight to 10.1 ppg. Backloaded WBM chemicals and offloaded SBM chemicals from the 'Crusader' and presently stacking in sack room - will include full inventory on next report. Mud check #1 is mud received from the boat, while check #2 is mud being conditioned. Dressed shale shakers with used 110 mesh screens, and mud cleaner with used 210 mesh. Soda Ash used in previous interval.				
Elect. Stab.V		343.0	355.0						
					Drilling Comments				
					Completed running BOP on marine riser to above wellhead and waited on water currents to subside before landing. Tested riser and choke and kill lines. BOP tests failing.				

BHDF Fluids Rep Jerry Laydoo / Billy Oguguvwe	BHDF Rep Phone 234-803-402-0440	Warehouse Onne	Warehouse Phone 234-84-462609	Coordinator Lawson Ogaree	Daily Cost 66618.60 USD	Cumulative Cost 208579.56 USD	Inventory Value 281257.60 USD	Page 1
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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	0.0	3 x 110	0.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					0	0	

Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	Weight Materials	Downhole	Left In Pit	Starting Volume		Riser w/o Pipe	
Brine	Water	Cased Off	Trip Losses	Daily Additions	1167.5	Casing w/o Pipe	
Base Fluid	Product	Left In Hole	Injected	Daily Losses		Open Hole w/o Pipe	
Recycled	Other	Discharged	Spill To Environment	Ending Volume	1167.5	String Displacement	
		SCE	Onshore Disposal	Net Change	1167.5	String Capacity	
		Evaporation	Returned			Total Hole w/ Pipe	
		Other Losses				Total Active	
						Total Reserve	1168.0

IADC Hours							
Run/Pull Riser	2	Wait	4	Test Equipment	6	Test BOP	12
BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value
Jerry Laydoo / Billy Oguguvwe	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	66618.60 USD	208579.56 USD	281257.60 USD

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**BAKER
HUGHES**

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Job# 1		Spud Date 04/Oct/2006			MD 840.00 m			Progress 0.00 m			Present Activity Test BOP						
Operator Peak Petroleum Indust. Limited				Company Rep James Blackmon / Chris Newton				Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Terry Nanidis						
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria				Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN						
Primary Currency USD					Secondary Currency					Totals USD							
Daily Product Cost 65268.60					Daily Product Cost 0.00					Primary Product 187148.31							
Daily Tax 0.00					Daily Tax 0.00					Secondary Product 0.00							
Debit/Credit 0.00					Debit/Credit 0.00					Primary Engineering 21431.25							
Daily Engineering Cost 1350.00					Daily Engineering Cost					Secondary Engineering 0.00							
Total Daily Cost 66618.60					Total Daily Cost 0.00					Primary Total 208579.56							
Total Inventory Value 281257.60					Total Inventory Value 0.00					Secondary Total 0.00							
										Deck Load 368649 lb							
Products and Services																	
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price USD	Daily Cost USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl					
Oil Based Product																	
CALCIUM CHLORIDE (97%)	25 kg								23.21								
CARBO-GEL	50 lb			160			30	130	264.28	7928.40		1.28					
MIL-LIME	25 kg								34.25								
OMNI-COTE	55 USgal								2150.00								
OMNI-MUL	55 USgal								995.06								
OMNI-PLEX	55 USgal								1618.95								
OMNI-TEC	55 USgal								925.00								
PARA-TEQ	1 bbl	863					204	659	280.00	57120.00							
Water Based Product																	
BLACK MAGIC SF T	25 kg	80						80									
CAUSTIC SODA	25 kg	32						32	37.89								
MIL-BAR	1000 kg	80						80	540.00								
MIL-GUAR	25 kg	80			80				135.00								
MIL-PAC R	55 kg	43			43				155.00								
POTASSIUM CHLORIDE BRINE	1 bbl								46.85								
POTASSIUM CHLORIDE BRINE	1 bbl																
SAW DUST	25 kg	29						29	12.50								
SODA ASH	25 kg	24			21		3		73.40	220.20							
Xanthan Gum	25 kg	123			72			51	345.22								
XCIDE 102	55 USgal	2			2				2508.30								
LCM																	
CALCIUM CARBONATE - FINE	25 kg								22.68								
CALCIUM CARBONATE - MED	25 kg								22.68								
KWIKSEAL - MEDIUM	25 kg								70.52								
MIL-PLUG FINE	25 kg								27.01								
MIL-SEAL MEDIUM	25 kg								36.00								
SOLUFLAKE F	50 lb								57.24								
SOLUFLAKE M	50 lb								57.24								
BHDF Fluids Rep Jerry Laydoo / Billy Oguguvwe		BHDF Rep Phone 234-803-402-0440		Warehouse Onne		Warehouse Phone 234-84-462609		Coordinator Lawson Ogaree		Daily Cost 66618.60 USD		Cumulative Cost 208579.56 USD		Inventory Value 281257.60 USD		Page 3	
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